MERLIN PROPERTIES

MRI16

MANAGEMENT REPORT ON INDIVIDUAL FINANCIAL STATEMENTS

FOR THE PERIOD ENDED ON
DECEMBER 31, 2016

MERLIN PROPERTIES IS THE LEADING SOCIMI IN THE SPANISH REAL ESTATE MARKET

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MERLIN PROPERTIES

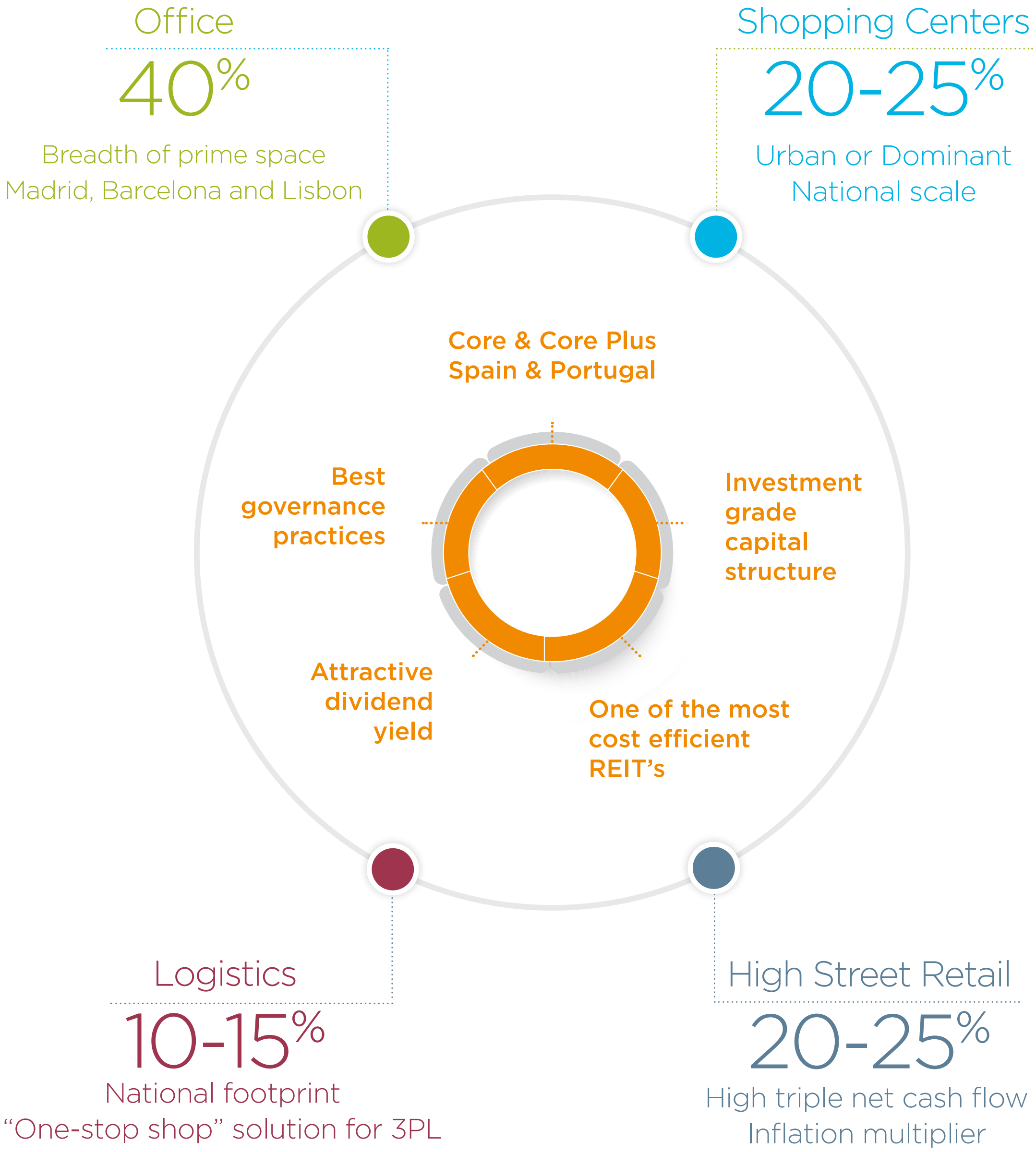
01

ORGANIZATION AND STRUCTURE

ORGANIZATION AND STRUCTURE

1. Strategy

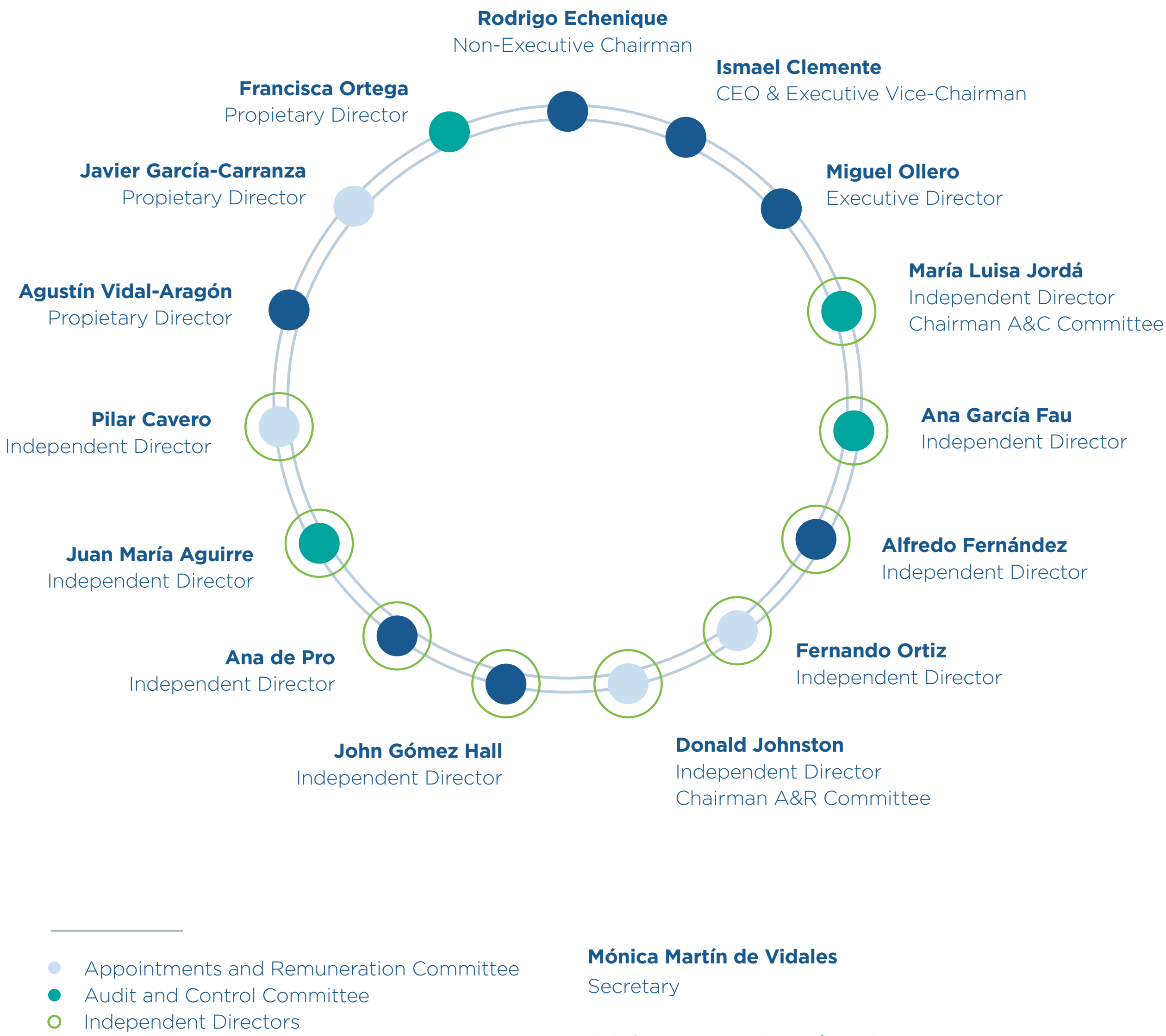
MERLIN Properties Socimi, S.A. ("MERLIN", "MERLIN Properties" or the "Company") is a company devoted to delivering sustainable return to shareholders through the acquisition, active management and selective rotation of high quality commercial real estate assets in the "Core" and "Core plus" segments.



2. Composition

The internal management organization structure can be summarized as follows:

- Board of Directors: consisting of fifteen directors, advised by both the Audit and Control Committee and the Appointments and Remuneration Committee.
- Chief Executive Officer: reporting directly to the Board of Directors and forming part of it.
- Investment Committee: reporting to the CEO and consisting of the executive team, with a right of veto by the Chief Investment Officer.



Mónica Martín de Vidales
Secretary

Ildefonso Polo del Mármol
Vice-Secretary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KEY ASPECTS

KEY ASPECTS

1. Capital structure

During 2016 the following events have had an impact in the capital structure of MERLIN Properties Socimi, S.A. ("MERLIN" or the "Company").

1.1. Merger of Testa Inmuebles en Renta Socimi, S.A.

On 21 June 2016, the Board of Directors of the Company and Testa Inmuebles en Renta SOCIMI, S.A. approved the merger by absorption deal for the integration of Testa Inmuebles en Renta SOCIMI, S.A. within the Company, through the transfer en bloc of the former's assets to the latter. On 6 September 2016, the Annual General Meeting of Shareholders of Testa Inmuebles en Renta, SOCIMI, S.A. approved the merger. On 14 October 2016 the merger deed was registered in the Madrid Commercial Registry.

At the time of the approval of the merger by the Annual General Meeting of Shareholders of the absorbed company, the Company owned 153,858,636 shares, which represented 99.93% of its share capital. This meant that the capital owned by third parties consisted of 109,082 shares, which represented 0.07% of the share capital.

According to the applicable legislation, the Company offered the shareholders of the absorbed company the opportunity to buy their shares. The swap ratio was 1.222 shares of MERLIN Properties SOCIMI, S.A. for each shares of Testa Inmuebles en Renta SOCIMI, S.A.

The summary of the merger is as follows:

	Thousands of euros		
	Value adjustment	Fair value	Valor Razonable
Goodwill	-	270,035	270,035
Investment property	1,819,485	839,616	2,659,101
Investment accounted for using the equity method	119,147	295,090	414,237
Other non-current assets	27,607	-	27,607
Deferred tax assets	11,282	-	11,282
Current assets	206,148	-	206,148
Non-current liabilities	(353,832)	(203,921)	(557,753)
Current liabilities	(1,355,510)	-	**(1,355,510)**
Total net assets	**474,327**	**1,200,820**	**1,675,147**
Consideration transferred			**1,987,920**
Reserves of merger			**(311,556)**

MERLIN PROPERTIES

1.2. Integration agreement with Metrovacesa, S.A.

On 21 June 2016, the Company signed an integration agreement with Metrovacesa, S.A. and its leading shareholders (Banco Santander, S.A., Banco Bilbao Vizcaya Argentaria, S.A. and Banco Popular Español, S.A.) with the object of creating the largest Spanish real estate rental property group. On 26 August 2016, the integration was approved by the Spanish anti-trust authorities and on 15 September by the Annual General Meetings of the Company and Metrovacesa, S.A. The resolutions passed by the respective AGMs were registered in the Commercial Registry on 26 October 2016.

The transaction was arranged through the total spin-off of Metrovacesa, S.A, thereby dissolving that company, and adding the real estate business unit of Metrovacesa, which consisted of operation of non-residential real estate property to be used for rental (including staff of the Metrovacesa group and the properties, shares or interests in subsidiary or investee companies, contracts and in general all assets and liabilities of Metrovacesa associated with tertiary assets, except for 250 million euros in debt). In exchange for the business received, the Company carried out an increase in share capital through the issue of 146,740,750 shares each with a par value of 1 euro, with an share premium of 10.40 euros per issued share. This increase was subscribed in full by the shareholders of Metrovacesa, S.A., with a swap ratio of one share of Merlin Properties SOCIMI, S.A. for every 20.95722 shares of Metrovacesa. S.A., As a result of this transaction, shareholders of Metrovacesa, S.A. acquired 31.237% of the share capital of the Parent Company.

The summary of this business combination is as follows:

	Thousands of euros		
	Value adjustment	Fair value	Valor Razonable
Concession projects	87,239	81	87,320
Investmet property	1,517,037	863,357	2,380,394
Investments accounted for using the equity method	111,151	262,302	373,453
Loans to associates	245,821	-	245,821
Other non-current assets	15,651	-	15,651
Deferred tax assets	403,646	(296,442)	107,204
Current assets	474,972	-	474,972
Deferred tax liabilities	-	(292,791)	(292,791)
Non-current liabilities	(1,782,582)	-	(1,782,582)
Current liabilities	(86,526)	-	**(86,526)**
Total net assets	**986,408**	**536,507**	**1,522,915**
Consideration transferred[a]			**1,449,799**
Gain in acquisition			**73,116**

[a] i.The fair value of the consideration transferred has been calculated applying the share price (9.88 euros) at 15 September 2016, the date the company was taken over, to the issued shares (146,740,750). The agreement for the integration of the property business of Metrovacesa, S.A. does not include any type of contingent consideration.

2. Investment activity and divestments

In 2016 the Company has added real estate assets to all its main lines of operation as a result of the merger with Testa, business combinations as well as the acquisitions formalized in the period.

The additions and the assets acquired through business combination in 2016 are as follows:

	Thousands of euros		
Type of asset	Additions by merger with Testa Inmuebles en Renta	Additions by integration with Metrovacesa	Rest of additions
Offices	1,896,250	1,684,070	9,516
Shopping centers	304,400	404,530	507
Hotels	155,700	246,376	7
High Street retail	45,000	9,565	111
Logistics	113,950	11,651	1,238
Other assets	143,801	24,202	5
	2,659,101	**2,380,394**	**11,384**

Main outgoing transactions in 2016 correspond to:

- On 30 December 2016, the Group and a third party signed an agreement to sell the former's hotel leasing business, the only exceptions being the properties shared with other businesses (Eurostars Torre Castellana in Madrid and Novotel Diagonal in Barcelona).

  Specifically, the agreement entails the sale of 17 hotel assets (16 assets integrated in the Company and one in Group company, Sadorma 2003, S.L.) and in the financial interests in Bardiomar, S.L. and Trade Center Hotel, S.L.U.

  The parties agreed to a price of € 530 million, € 477,000 thousand of which will be collected in 2017 and € 53,000 thousand of which are to mature in 2018. On 20 January 2017, the buyer met the payment of the first commitment for a sum of € 20 million. As a result of this transaction, and arising from the recent acquisition of the hotels (included in the Group after the business combinations with Testa Inmuebles en Renta SOCIMI, S.A. and the commercial property business of Metrovacesa, S.A.) there was not a significant gain after the sale costs.

- In addition, on 28 December 2016 the Company sold to Madrid City Council the 18,655 sqm office building headquarters of the Economy and Finance department located at Alcalá 45 for an amount of € 104 million.

3. Results

In 2016, the Company recorded revenues of € 235,245 thousand, recurring EBITDA of € 154,753 thousand, a recurring FFO of € 94,604 thousand and a net consolidated result of € 118,966 thousand. These results include the integration of the results coming from assets of the Commercial Portfolio of Metrovacesa split in favor of MERLIN from 15 September until 31 December.

Key financial and economic indicators

	31/12/2016	31/12/2015
Total revenues	235,245	69,562
Personnel and general expenses	(80,492)	(35,341)
EBITDA	**154,753**	**34,221**
Net financial expenses	(60,149)	(4,794)
FFO	**94,604**	**29,427**
Depreciation	(55,861)	(44)
Provision surpluses	-	476
Impairment and profit (loss) on disposal of fixed assets	(13,078)	-
Negative difference on business combination	73,116	-
Change in fair value of financial instruments	(6,244)	-
Impairment and profit (loss) on disposal of financial instruments	25,533	-
Profit before taxes	**118,070**	**29,859**
Income taxes	896	**-**
Profit (loss) for the period	**118,966**	**29,859**

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FINANCIAL STATEMENTS

INCOME STATEMENT

INCOME STATEMENT AS OF 31 DECEMBER 2016

(€ thousand)	2016 Period	2015 Period
Revenues	230,933	69,531
Works carried out by the company for its assets	498	-
Other operating income	3,814	31
Personnel expense-	(42,021)	(11,553)
Other operating expenses-	(38,471)	(23,788)
Depreciation and amortization	(55,861)	(44)
Provision surpluses	-	476
Impairment and profit (loss) on disposal of fixed assets-	(13,078)	-
Negative difference on business combinations	73,116	-
PROFIT/(LOSS) FROM ORDINARY ACTIVITIES	**158,930**	**34,653**
Finance income	1,091	1,483
Finance costs	(61,240)	(6,277)
Change in fair value of financial instruments	(6,244)	-
Impairment and profit (loss) on disposal of financial assets	25,533	-
PROFIT/(LOSS) FROM FINANCIAL ACTIVITIES	**(40,860)**	**(4,794)**
PROFIT/(LOSS) BEFORE TAX	**118,070**	**29,859**
Income tax	896	-
PROFIT/(LOSS) FOR THE PERIOD	**118,966**	**29,859**

BALANCE SHEET AS OF 31 DECEMBER 2016 (€ thousand)

ASSETS	31/12/2016	31/12/2015
NON CURRENT ASSETS	**7,512,243**	**2,794,460**
Intangible assets	296,297	276
Property plant and equipment	3,515	410
Investment property	4,588,193	
Investments in group companies	2,426,684	2,793,688
Long term financial assets	86,539	86
Deferred tax assets	111,015	-
CURRENT ASSETS	**1,132,469**	**433,397**
Inventories	1,029	-
Trade and other receivables	445,542	4,889
Investments in group companies	511,139	103,143
Short term financial assets	6,181	-
Accruals/deferrals	104	64
Cash and cash equivalents	168,474	325,301
TOTAL ASSETS	**8,644,712**	**3,227,857**

EQUITY AND LIABILITIES	31/12/2016	31/12/2015
EQUITY	**4,025,426**	**2,859,379**
Subscribed capital	469,771	323,030
Share premium	4,017,485	2,616,003
Reserves	(514,154)	(81,965)
Treasury shares	(105)	-
Profit (Loss) from previous years	-	(3,053)
Other shareholder contributions	540	540
Profit for the period	118,966	29,859
Interim dividend	(59,759)	(25,035)
Hedging transactions	(7,318)	-
NON CURRENT LIABILITIES	**4,406,034**	**4,856**
Long term debt	28,382	4,856
Long term provisions	3,905,607	-
Debt with group companies	12,183	-
Deferred tax liabilities	459,862	-
CURRENT LIABILITIES	**213,252**	**363,622**
Short term provisions	867	-
Short term debt	42,064	348,107
Intercompany loans	35,314	-
Trade and other payables	132,329	15,515
Short term accruals/deferrals	2,678	-
TOTAL EQUITY AND LIABILITIES	**8,644,712**	**3,227,857**

FINANCIAL DEBT

MERLIN Properties has received during 2016 an "investment grade" credit rating by Standard & Poor and Moody's. Concretely, S&P has granted a BBB rating and Moody's Baa2, which positions MERLIN as the Spanish REIT with the best credit rating. MERLIN has executed 3 issuances for an aggregated amount of € 2,350 thousand during the period, with the following characteristics:

	MRL II	MVC	MRL I
Issuance date	2 November 2016	23 May 2016	25 April 2016
Size (€ thousand)	800	700	850
Coupon	1,875%	2,375%	2,225%
Expiration date	2 November 2026	23 May 2022	25 April 2023
Spread on Euribor	ms + 160 bps	ms + 238 pbs	ms + 200 pbs
Covenants			
LTV	≤ 60%	≤ 60%	≤ 60%
ICR	≥ 2,5x	≥ 1,8x	≥ 2,5x
Unencumbered ratio	≥ 125%	≥ 110%	≥ 125%

As of 31 December 2016 the detail of current and non-current passives is the following:

(€ thousands)	**2016**	**2015**
Non-current:		
Measured at amortised cost		
Syndicated loan	1,220,000	-
Syndicated loan arrangement expenses	(12,082)	-
Total syndicated loan	**1,207,918**	**-**
Revolving credit facility	180,000	-
Leasing, credits and loans	124,911	-
Arrangement expenses	(263)	-
Total other loans	**304,648**	**-**
Bonds and debentures	2,350,000	-
Debenture arrangement expenses	(22,655)	
Total bonds and debentures	**2,327,345**	**-**
Total amostized cost	**3,839,911**	**-**
Measured at fair value		
Derivative financial instruments	13,460	-
Total at fair value	13,460	-
Total non-current	**3,853,371**	**-**
Current:		
Measured at amortised cost		
Syndicated loan	1,474	-
Bonds and debentures	25,629	-
Leasing, credits and loans	10,849	347,947
Revolving creidt facilities	225	-
Total amortised cost	**38,177**	**347,947**
Valorados at fair value		
Derivative financial instruments	1,733	-
Total at fair value	**1,733**	**-**
Total current	**39,910**	**347,947**

For financial liablities measured at amortised cost, there exist no significant differences between the book value and their fair value

MERLIN's financial debt as of 31 December is 3,913,088 thousand. Net financial debt is € 3,740,765 thousand. The detail of MERLIN's debt maturity is the following:

(€ Thousand)	Debt with financial institutions				
			31,12,2016		
	Limit	Debt arrangement expenses	Long term	Short term	Short term interests
Syndicated loan	1,720,000	(12,082)	1,220,000	-	1,474
Leasing	149,125	(263)	124,911	10,849	-
Revolving credit facilities	420,000	-	180,000	-	225
Total	2,289,125	(12,345)	1,524,911	10,849	1,699

RETURN TO SHAREHOLDERS AND MANAGEMENT STOCK PLAN

The Shareholder Return for a given year is equivalent to the sum of (a) the change in the EPRA NAV of the Company during such year less the net proceeds of any issues of ordinary shares during such year; and (b) the total dividends (or any other form of remuneration or distribution to the Shareholders) that are paid in such year (the "Shareholder Return"). The Shareholder Return Rate is defined as the Shareholder Return for a given year divided by the EPRA NAV of the Company as of 31 December of the immediately preceding year (the "Shareholder Return Rate"). In accordance with these definitions, the Shareholder Return in 2016 amounts to € 711,705 thousand and the Shareholder Return Rate amounts to 20.8%.

Following the acquisition of Testa, the Management Team of MERLIN unilaterally decided that the Shareholder Return is to be calculated over the Adjusted EPRA NAV in lieu of the EPRA NAV, meaning that the outstanding balance of goodwill associated arising from Testa acquisition should be deducted from the EPRA NAV.

(€ thousand)		Absolute	Per share
EPRA NAV 31 December 2016		5,274,730	11.23
Net proceeds from October 2016 capital increase		(1,672,845)	
EPRA NAV 31 December 2016	(a)	3,601,886	11,23
Testa goodwill outstanding amount 31/12	(b)	(9,839)	(0.02)
Adjusted EPRA NAV after goodwill at the end of the period	**(c) = (a) - (b)**	**3,592,047**	**11.21**
EPRA NAV beginning of period	**(d)**	**2,981,546**	**9.23**
Change in Adjusted EPRA NAV	(e) = (c) - (d)	610,500	1.98
Dividends paid in year	(f)	101,205	0.31
Shareholders return	(g) = (e) + (f)	711,705	2.29
Shareholder Return Rate (%) [1]		**20.8%**	**20.8%**
Required shareholder return in order to exceed the annualized yield threshold of 8%		**278,013**	

Furthermore, the Company has agreed to grant an additional incentive of annual variable remuneration to the management team as determined by the Remuneration and Nomination Committee, linked to the Company's shares which rewards the management team depending on the returns achieved by the Company's shareholders (the "Management Stock Plan").

Management Stock Plan is granted if the following two key hurdles are met:

- The Shareholder Return Rate exceeds 8%.

- The sum of the EPRA NAV of the Company on 31 December of the fiscal year and the total dividends (or any other form of remuneration or distribution to the shareholders) that has been distributed in that fiscal year, or in any preceding fiscal year since the most recent fiscal year in respect of which a payment under the Management Stock Plan was made, exceeds the relevant high watermark. The relevant high watermark is defined as the EPRA BA at the end of the year in which there has been an incentive adjusted to exclude the net proceeds of any issues of ordinary shares.

In 2016, MERLIN Properties comply with exceeding both limits determined in the Management Stock Plan to be awarded with incentive of additional remuneration.

Sum EPRA NAV + dividends	€ thousand
Relevant High Watermark	2,981,547
Adjusted EPRA NAV end of period + dividends paid	3,693,252
Excess of return over High watermark applicable	711,705
Test of conditions to be awarded with incentives	
Shareholder Return Rate >8%	YES
Exceed Relevant High Watermark	YES
Calculation of the incentive. The lowest of the following:	
9% of the annual shareholder return for the management team	64,053
16% of the excess of return over high watermark applicable	113,873
Applicable incentive	**64,053**

[1] Return calculated as implied TIR of: € 2,981 million in profitability 366 days and € 1,673 million (MVC increase) in profitability 108 days

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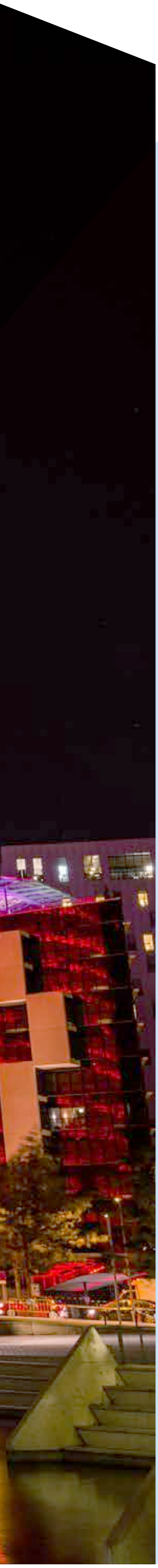
EVENTS POST-CLOSING



NEW INVESTMENTS

Torre Glóries

On 12 January, MERLIN formalized the acquisition of the iconic building Torre Glòries, leading to a significant expansion of its footprint in the Barcelona prime office market. The property is located in the junction of Avenida Diagonal with Plaza de Les Glòries, at the core of the tech-oriented business district known as 22@. With 142 meters' height, the skyscraper is the third tallest building in Barcelona. The building was originally designed by prestigious architects Jean Nouvel and Fermín Vázquez and opened in 2005. It comprises a gross area of 37,614 sqm, in ground level plus 34 above ground floors, plus an auditorium with over 350 pax seating capacity. It also benefits from 300 parking spaces located in four below ground levels. The total constructed area amounts to 51,485 sqm. The acquisition price amounts to € 142 million, representing a capital value of € 3,775 per sqm. MERLIN will be investing approximately € 15 million for multi-tenancy reconversion works. MERLIN targets annual recurring revenues of € 10.3 million, representing an ERV yield of ca. 6.5% after completion of works.

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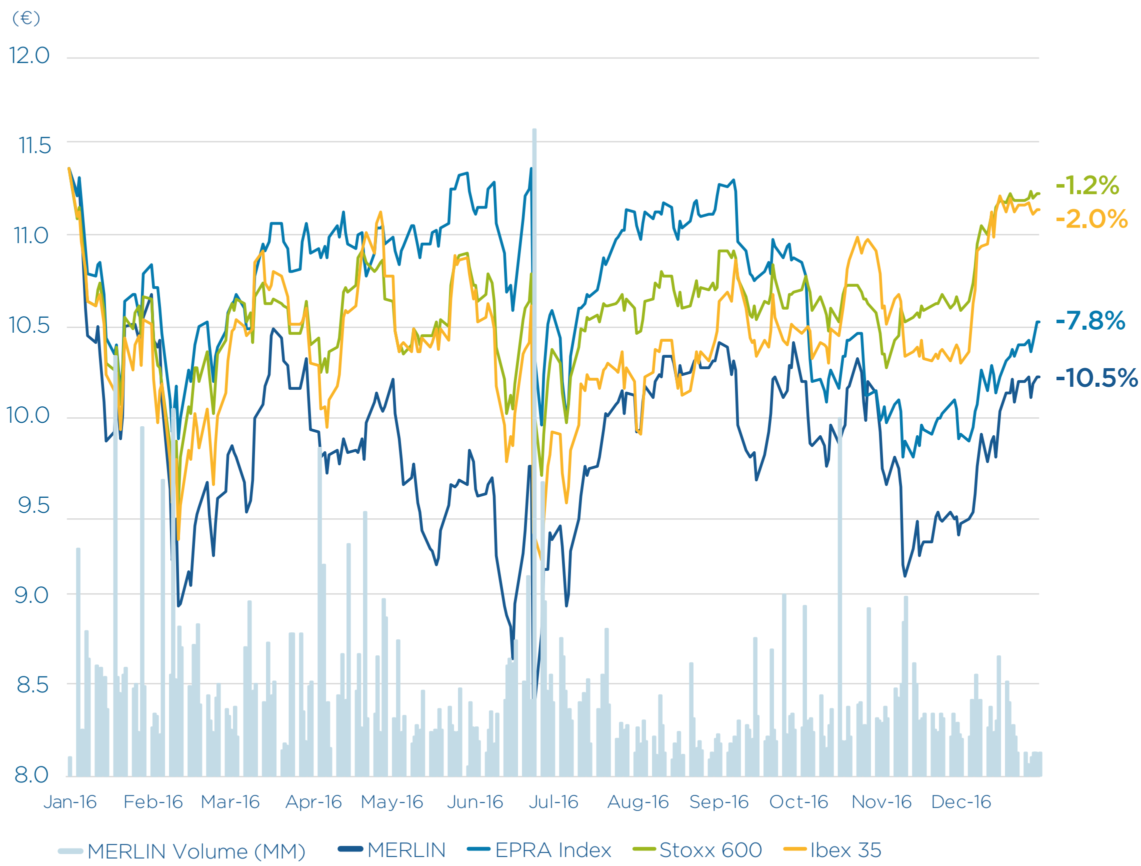
STOCK EXCHANGE EVOLUTION

STOCK EXCHANGE EVOLUTION

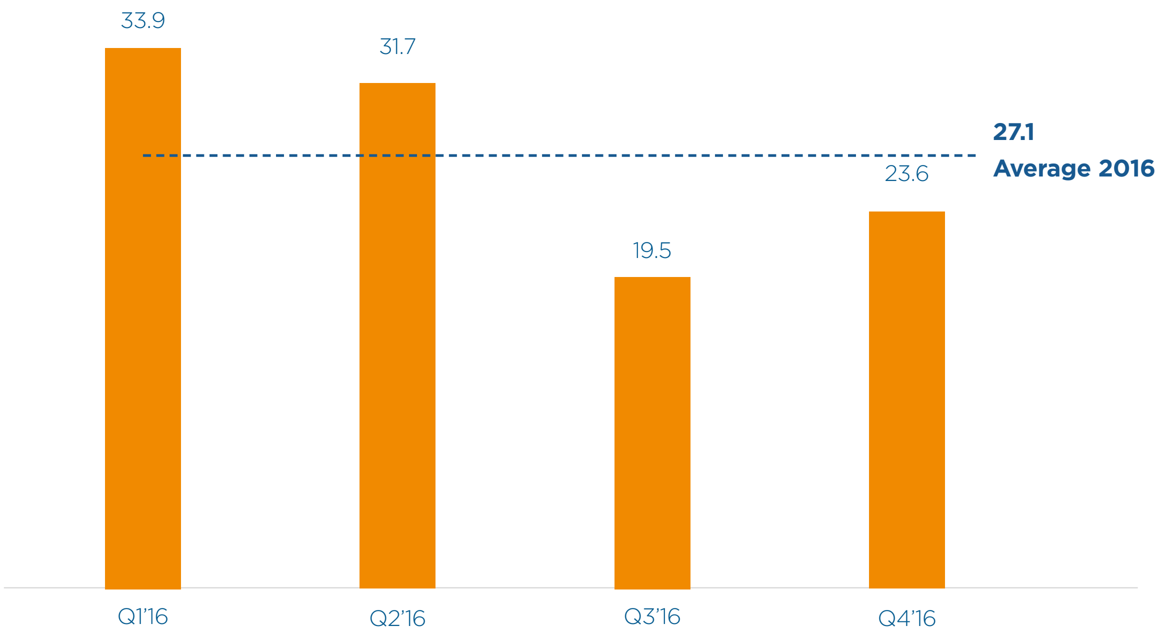
MERLIN shares closed on 31 December 2016 at € 10.33, a decrease of 10.5% versus 31 December 2015 closing price. The share has moved in line with the sectorial EPRA Europe reference index (-7.8%) and underperformed the IBEX-35 (-2.0%) and Euro Stoxx 600 (-1.2%).

MERLIN share price performance vs IBEX 35 / EPRA Index / Euro Stoxx 600



Average daily trading volume during the period has been € 27.1 million, which represent a 0.7% of the average market capitalization of the latest quarter of 2016 (in order to take into account the new shares issued after the transaction with Metrovacesa).

Average daily trading value (€m)



As of the date of this report, MERLIN is covered by a wide variety of 24 equity research houses. Consensus target price is € 11.72.

Target prices and analyst recommendations

	Date	Recommendation	Target price
ALANTRA	03-02-17	Buy	11.55
HAITONG	31-01-17	Neutral	11.00
MIRABAUD	23-01-17	Sale	9.70
BPI	10-01-17	Neutral	11.10
Green Street Advisors	09-01-17	Neutral	12.20
Morgan Stanley	06-01-17	Buy	13.50
SOCIETE GENERALE	04-01-17	Buy	12.60
CaixaBank	15-12-16	Buy	12.20
Goldman Sachs	06-12-16	Neutral	11.60
N+1	28-11-16	Buy	11.45
Credit Suisse	16-11-16	Buy	12.50
GVC Gaesco	10-11-16	Buy	12.51
EXANE BNP PARIBAS	13-10-16	Buy	12.00
JBCapitalMarkets	23-09-16	Buy	12.5
Kempen & Co	23-09-16	Buy	10.50
intermoney valores sv	19-09-16	Buy	12.10
Deutsche Bank	16-09-16	Buy	12.50
UBS	21-07-16	Neutral	11.80
bankinter.	19-07-16	Buy	12.16
fidentiis	13-07-16	Buy	11.80
Kepler Cheuvreux	30-06-16	Buy	10.85
Sabadell	23-06-16	Buy	11.07
Bank of America	22-06-16	Sale	10.50
BBVA	06-05-16	Buy	11.60

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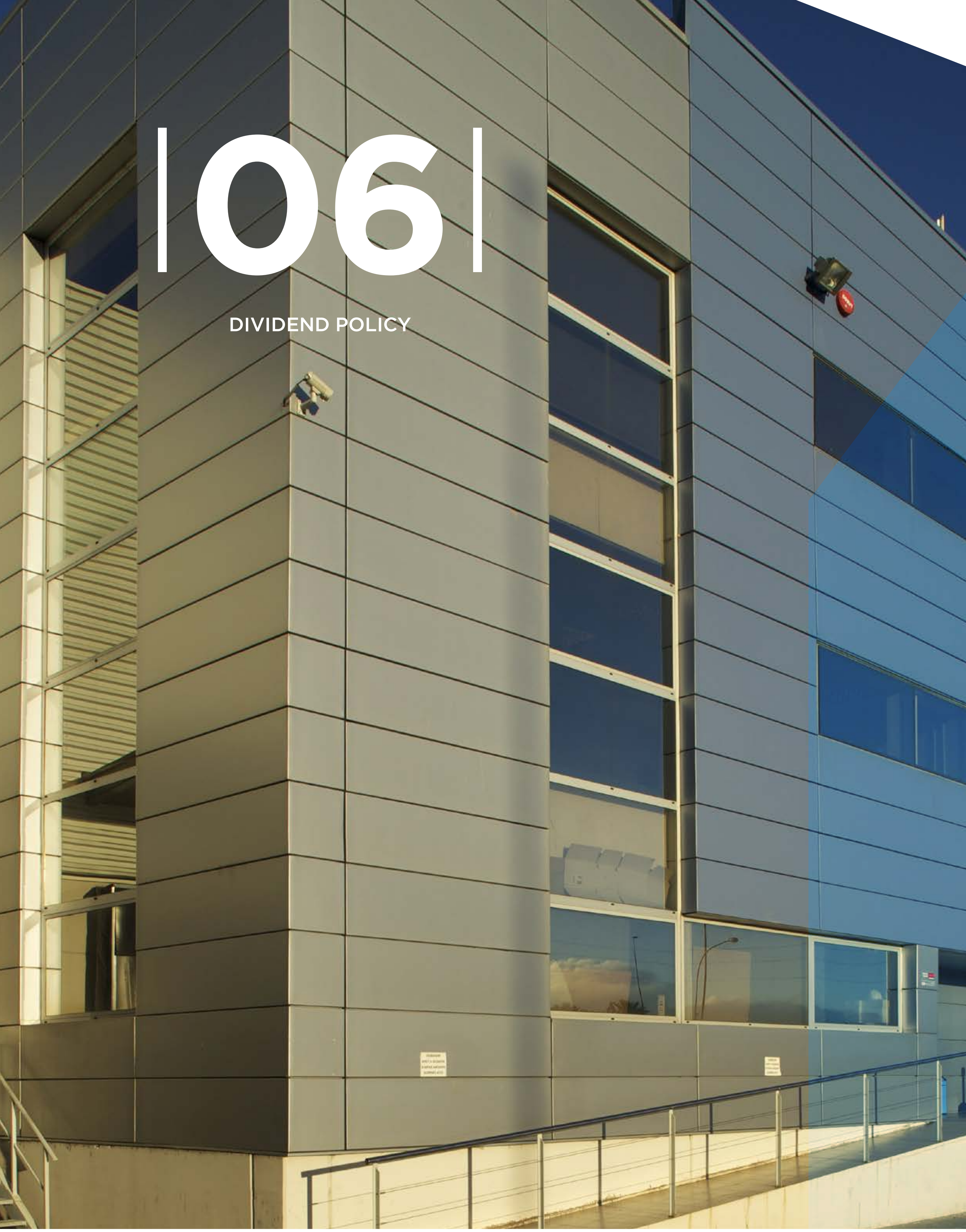
DIVIDEND POLICY



DIVIDEND POLICY

The Company maintains a dividend policy that takes into account sustainable levels of distributions, and shows the Company's forecast of obtaining recurring profits. The Company does not intend to create reserves that cannot be distributed to the shareholders, other than those required by law.

According to the Spanish regime for REIT's, the Company will be obligated to adopt agreements to distribute the profits obtained in this financial year in the form of dividends to shareholders, after complying with any relevant requirement of the Spanish Corporation Law. The Company will be obligated to agree its distribution within six months of the close of each financial period, in the following manner: (i) at least 50% of the profits derived from the transfer of real properties, shares, or shareholdings in qualified affiliates, provided that the remaining profits are reinvested in other real estate assets within a maximum period of three years from the date of transmission or, if not, 100% of the profits must be distributed as dividends at the end of this three year period; (ii) 100% of the profits obtained by receiving dividends paid by qualified subsidiaries; (iii) at least 80% of the rest of the obtained profits. If the dividend distribution agreement is not adopted within the legal timeframe, the Company will lose its REIT status during the financial year to which the dividends refer.

Proposed distribution of results

The distribution of profit proposed by the Parent's directors for approval by its shareholders at the Annual General Meeting is as follows:

(€ Thousand)	
Profit/(loss) for the period	118,966
Distribution:	
To legal reserve	11,897
To interim dividend	59,759
To dividends	47,310

Remuneration to shareholders already made

On 19 October 2016, the Parent's Board of Directors resolved to distribute 59,759 thousand euros as an interim dividend with a charge to profit/(loss) for 2016. This interim dividend was paid to shareholders on 25 October 2016.

On 6 April 2016, the Annual General Meeting approved the distribution of the profit for the 2015 year, amounting to EUR 1,838 thousand, being paid to the shareholders on 27 April 2016. In addition, it was approved the distribution of an additional dividend charged to the share premium for 33,145 thousand euros.

Additionally, on 15 September 2016, the Extraordinary General Meeting also approved the distribution of an additional dividend amounting to 6,460 thousand charged to available reserves.

07

MAIN RISKS AND UNCERTAINTIES

MAIN RISKS AND UNCERTAINTIES

The policies of financial risk management within the commercial real estate sector deal mainly with the analysis of investment projects, the management of the building's occupation and the situation of the financial markets:

- Credit risk: credit risk relating to the Company's ordinary business is not significant because the contracts signed with the tenants require payment in advance of most sums. These contracts also require the tenant to provide legal and additional financial guarantees or deposits to cover possible nonpayment of the rent. This risk is also mitigated by the diversification of the type of product in which the Company invests and consequently the typology of clients.

- Liquidity risk: The Company, in order to manage liquidity risk and to meet the needs of funds, uses an annual budget and monthly forecast of the liquid assets. This monthly forecast is detailed and updated on a daily basis. The main liquidity risk is due to the potential for negative working capital resulting from short term debt. The factors mitigating liquidity risk include the following: (i) cash generated in the ordinary course of business is very stable; and (ii) the company's liabilities are largely long-dated and the high quality of the assets provides ample ability to obtain new sources of funding.

  When formulating consolidated annual accounts, the Company had already covered all of its funding requirements, enabling it to meet its commitments with providers, employees and the Public Sector, according to the cash flow for FY2015. Furthermore, given the type of industry in which the Company operates, the investments, the financing for such investments, the stable EBITDA generated and the high occupancy rate of properties is more likely to produce surplus cash. The company's policy is to invest this cash in short-term investments and liquid deposits with highly rated institutions.

  The acquisition of options or futures on stocks, or any other high-risk activities as a means of investing its cash surplus are not considered by the Company.

- Interest rate risk: in order to minimize the Company's exposure to this risk, financial hedges, such as interest rate swaps, have been executed. Total interest rate hedged amount to 88.7% of total debt.

- Exchange rate risk: the Company's policy is to contract debt only in the same currency as that of the cash flows of each business. Therefore, the Company is currently not exposed to exchange rate risk. Within this type of risk, it is noted the fluctuation of the exchange rate in the conversion of the financial statements of the foreign companies whose functional currency is other than euro.

- Market risk: MERLIN Properties is exposed to market risk from potential downward movement in rental rates when current contracts terminate. This risk could negatively affect the cash flow and valuation of the assets of the Company. However, the market risk is mitigated by policies of attracting and selecting new high quality clients and negotiating compulsory lease terms that maximize the length of the lease term. For this reason, on 31 December 2016, the occupancy rate of the Company's assets is 91.3%, with a weighted average unexpired lease term of 7.2 years (weighted by gross rents).

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TREASURY SHARES

TREASURY SHARES

The Company has not carried out any acquisition or divestments of own shares during FY2016.

In the context of the merger with Testa Inmuebles en Renta Socimi, S.A., the Company executed the purchase of 133,299 own shares in August, with the aim of being able to exchange the 109,082 shares of Testa in hand of third parties.

Finally, in October there were exchanged only 123,069 shares, therefore MERLIN currently has 10,230 own shares.

MERLIN PROPERTIES

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